Tab B

Calculated Demand Response Resource-Type I Output: The hourly average Actual Energy Injection for each associated Demand Response Resource – Type I for the Hour for the purposes of assessing Excessive/Deficient Energy Deployment Charges.

Calculated Demand Response Resource-Type II Output: (i) For a DRR-Type II Resource that is providing Regulating Service, the Dispatch Interval Actual Energy Injections; or (ii) For a DRR-Type II Resource that is not providing Regulation Service, the average Dispatch Target for Energy for the DRR-Type II Resource, expressed in MW and scaled by Actual Energy Injection.

Calendar Day: Any day of the week, including Saturday, Sunday or a Federal holiday.

Candidate ARR (CARR): ARR nominations submitted by Market Participants to be considered throughout the Annual ARR Allocation process.

Candidate Baseload ARR: Candidate ARR rights equal to each Market Participant's Baseload Usage in an ARR Zone.

Candidate Peak ARR: Candidate ARR rights equal to each Market Participant's Peak Usage in an ARR Zone.

Candidate MTPS ARR: MTPS ARR nominations submitted by the Transmission Provider to be considered during the Annual ARR Allocation process.

Capacity: The instantaneous rate at which Energy can be delivered, received or transferred, including Energy associated with Operating Reserve, Up Ramp Capability, Down Ramp Capability, and Short-Term Reserve, measured in MW.

Capacity Deficiency Charge: A charge that is assessed to an LSE that has provided notification prior to the Planning Resource Auction that it will meet its Initial PRMR in part or in

whole by paying the Capacity Deficiency Charge so that the Transmission Provider does not clear associated Zonal Resource Credits (ZRC) for the associated Initial PRMR through the PRA process.

Capacity Export Limit (CEL): The amount of Planning Resources in MWs for an LRZ or ERZ determined by the Transmission Provider that can be reliably exported from that LRZ or ERZ for each Season.

Capacity Import Limit (CIL): The amount of Planning Resources in MWs for an LRZ determined by the Transmission Provider that can be reliably imported into that LRZ for each Season.

Capacity Replacement Non-Compliance Charge: The charge assessed to a Market Participant for failing to replace ZRCs that were designated for RAR and did not fulfill their performance obligations as set forth in Module E-1.

Capacity Resources: The Generation Resources, Demand Response Resource- Type I, Demand Response Resource-Type II, Dispatchable Intermittent Resources, External Resources, Intermittent Generation, or Electric Storage Resources that are available to meet Demand.

Carved Out GFA(s): Any Grandfathered Agreement(s) that the Commission has identified as "carved out" pursuant to Appendix B of the Commission's September 16, 2004 order, Midwest Independent Transmission System Operator, Inc., 108 FERC ¶ 61,236 (2004) or that meet the criteria in Section 38.8.3(A).b, and set forth in Attachment P to this Tariff, as that Attachment may be amended from time to time.

Cash Collateral Agreement: A Credit Support Document taking the form found in Exhibit III of Attachment L of this Tariff.

Cash Deposit: Cash collateral provided to Transmission Provider to secure Applicant's and/or Tariff Customer's performance under the terms and conditions of Transmission Provider's Tariff, and/or other agreements.

Catastrophic Generator Outage: A forced outage that results in a unit being, or reasonably expected to be unavailable for a minimum of six (6) continuous months, which is not the result of a planned maintenance outage.

Category A Tariff Customer: A Tariff Customer who grants a continuing first-priority security interest to the Transmission Provider in all right, title and interest in any and all accounts receivable and other rights of payment of the Tariff Customer for goods and services provided under, or otherwise arising under, pursuant to or in connection with, the Tariff and/or any of the Agreements.

Category B Tariff Customer: Any Tariff Customer who does not grant a Receivable Security Interest to the Transmission Provider.

Change in Total System Cost: The net change in variable operational costs, which include fuel, variable O&M, variable environmental costs, and other variable costs as mutually agreed upon by the Transmission Provider and the Market Participant, measured in dollars as a result of changing the output of one or more units in response to a redispatch request from the Transmission Provider.

Charge: The withdrawal of energy from the Transmission System by an Electric Storage Resource for the purpose of storing the energy for injection back into the Transmission System at a later time.

Cleared Zonal Resource Credits (Cleared ZRCs): Zonal Resource Credits that have cleared the

Planning Resource Auction, were used in a Fixed Resource Adequacy Plan, were used in a Reliability Based Demand Curve Opt Out, or are currently being used to replace ZRCs.

Coincident Peak Demand: The Demand in MWs, for an LSE and/or EDC, that occurs coincident to the peak Demand for each Season in the Transmission Provider Region, where all Demand has been augmented to include any known reductions in Demand related to LMRs.

Co-located Resources: Two or more Generators located behind the same point of interconnection that participate separately in the Energy and Operating Reserve Markets and share an Interconnection Service Limit.

Combined Reliability Systems: The Reliability Coordination Customer Transmission Facilities and all other transmission facilities for which the Transmission Provider performs Reliability Coordination Services under Part I of Module F.

Commercial Model: A presentation of the relationships between Market Participants and their Resources, Commercial Pricing Nodes and the Network Model in the Energy and Operating Reserve Markets.

Commercial Operation Date: Shall have the meaning set forth in Attachment X of this Tariff.

Commercial Pricing Node (CPNode): An Elemental Pricing Node or an Aggregate Price Node in the Commercial Model used to schedule and settle Market Activities. Commercial Pricing Nodes include Resources, Hubs, Load Zones and/or Interfaces.

Commercially Significant Voltage and Local Reliability Issue: Transmission System voltage or other local reliability concerns that result in Voltage and Local Reliability Commitments. These issues are designated for reasons including, but not limited to, occurrence

frequency, monetary impact, or other criteria as defined in Schedule 44. A Local Balancing Authority or an interested Market Participant may request that the Transmission Provider evaluate a Voltage and Local Reliability Issue for designation as commercially significant.

Commission: The Federal Energy Regulatory Commission, also known as FERC, or its successor.

Commitment Status: A specification submitted by a Market Participant in its Generation Offer, External Asynchronous Resource Offer, Demand Response Resource-Type I Offer, Demand Response Resource-Type II Offer, or Electric Storage Resource Offer for each Hour to indicate whether or how the Transmission Provider is authorized to commit the Resource or deploy the Resource for Operating Reserves for the Hour.

Common Bus: A single Bus to which two or more Resources are connected in an electrically equivalent manner where such Resources are treated as a single Resource for compliance monitoring purposes.

Common Information Model (CIM): The format adopted by the NERC Data Exchange Working Group that will be used by the Congestion Management Customer and the Transmission Provider to exchange Energy Management System models once a year.

Comparable FTRs: FTRs that are identical in all material respects except for the quantity of MW specified.

Competitive Developer Qualification Process: The process utilized to certify Qualified Transmission Developers pursuant to Section VIII.B of Attachment FF of the Tariff.

Competitive Developer Selection Process: The process utilized to solicit Proposals, evaluate

Proposals, and designating a Selected Proposal and Selected Developer(s) pursuant to Section VIII of Attachment FF of the Tariff.

Competitive Substation Facility: A transmission substation facility contained within an Eligible Project that is subject to the Competitive Developer Selection Process in accordance with Section VIII.A of Attachment FF of the Tariff.

Competitive Transmission Executive Committee: A committee consisting of three (3) or more executive staff of the Transmission Provider, including at least one (1) officer, that is charged with overseeing all Transmission Provider staff and consultants involved in evaluating Transmission Developer Applications and Proposals in response to a posted Request for Proposal. The Competitive Transmission Executive Committee will have exclusive and final decision-making authority over: (i) the certification and termination of Qualified Transmission Developers; and (ii) the evaluation and selection of Proposals, resulting in designating Selected Developers. The Competitive Transmission Executive Committee shall possess the specific technical, financial, and regulatory expertise necessary for evaluation of Transmission Developer Applications and Proposals.

Competitive Transmission Facility: A Competitive Substation Facility or Competitive Transmission Line Facility.

Competitive Transmission Line Facility: A transmission line facility contained within an Eligible Project that is subject to the Competitive Developer Selection Process in accordance with Section VIII.A of Attachment FF of the Tariff.

Competitive Transmission Process: The process utilized to certify Qualified Transmission Developers, identify Competitive Transmission Projects, solicit Proposals, evaluate

Proposals, and designating a Selected Proposal and Selected Developer(s) pursuant to Section VIII of Attachment FF of the Tariff. The Competitive Transmission Process includes the Competitive Developer Qualification Process and Competitive Developer Selection Process.

Competitive Transmission Project: The Competitive Transmission Facilities contained within an Eligible Project.

Competitively Sensitive Information: Information that is not public and the unauthorized disclosure of which could have anti-competitive effects, provide a competitor with an unfair or improper competitive advantage, or unfairly or improperly result in competitive harm, detriment, prejudice, disadvantage or injury to the legitimate proprietary rights, business or commercial interests, market position, or ability to bargain freely, of the lawful owners, possessors or users of such information.

Completed Application: An Application that satisfies all of the information and other requirements of the Tariff, including any required deposit.

Composite Credit Score: A composite numerical score scaled from 1.00 to 6.99, representing the sum of the Qualitative and Quantitative score as calculated by the Transmission Provider's credit scoring model in Attachment L of this Tariff.

Computational Load: Large Load comprised of 25 MW or more of Demand from information technology equipment, such as servers, storage, and networking hardware.

Confidential Information: Any proprietary or commercially or competitively sensitive information, trade secret or information regarding a plan, specification, pattern, procedure, design, device, list, concept, policy or compilation relating to the present or

planned business of a Transmission Customer, Market Participant, or other user, which is designated as confidential by the entity supplying the information, whether conveyed orally, electronically, in writing, through inspection, or otherwise, that is received by the Transmission Provider and is not disclosed except under the terms of a Confidential Information policy.

Congestion Management Customer: Any entity taking Interconnected Operations and Congestion Management Service under Part II of Module F.

Congestion Management Process (CMP): The process described in Attachment LL of the Tariff.

Constraint Contribution Factor: Factor that represents the impact that an incremental Actual Energy Injection or Actual Energy Withdrawal of one MW has on a given Active Transmission Constraint.

Constraint Generation Shift Factor Cutoff: A Generation Shift Factor level defined for each transmission constraint that determines the generating units to be included in a Broad Constrained Area, Narrow Constrained Area or Dynamic NCA associated with the constraint. Generation Resources with a Generation Shift Factor whose absolute value is greater than the Constraint Generation Shift Factor Cutoff are included in the Broad Constrained Area, Narrow Constrained Area or Dynamic NCA.

Constraint Management Charge Allocation Factor: A factor that is used to apportion Real-Time Revenue Sufficiency Guarantee Credits in an Hour between (i) the Real-Time Revenue Sufficiency Guarantee Constraint Management Charge and (ii) the Real-Time Revenue Sufficiency Guarantee Day-Ahead Schedule Deviation Charge and the Real-

Time Revenue Sufficiency Guarantee Headroom Charge.

Contingency Reserve: Spinning Reserve and Supplemental Reserve provided by Resources available to the Transmission Provider to use in the event of a system contingency as specified in Schedule 5-Spinning Reserve and Schedule 6– Supplemental Reserve of this Tariff.

Contingency Reserve Deployment Failure Charge: A charge assessed to any Resource that fails to achieve in a Contingency Reserve Deployment Period at least one hundred percent (100%) of the Contingency Reserve Deployment Instruction target.

Contingency Reserve Deployment Instruction: An instruction issued by the Transmission Provider to Resources with cleared Contingency Reserve to deploy a specific MW quantity of cleared Contingency Reserve as communicated via Setpoint Instructions or other electronic means.

Contingency Reserve Deployment Period: The period of time the Resource has to deploy Contingency Reserve following the issuance of a Contingency Reserve Deployment Instruction that is equal to ten minutes.

Contingency Reserve Offer Price Cap: The maximum price permitted for a Spinning Reserve Offer, an On-Line Supplemental Reserve Offer, an Off-Line Supplemental Reserve Offer or a Supplemental Reserve Offer in the Energy and Operating Reserve Markets.

Continuing Error: A continuing software, system or other execution that is inconsistent with the Tariff.

Control: The possession, directly or indirectly, of the power to direct the management or policies of a person or an entity. A voting interest of ten percent (10%) or more shall

create a rebuttable presumption of Control.

Controllable Devices: Devices that may include phase shifters, DC lines, and back-to-back AC/DC converters.

Co-optimized Zonal Contingency Reserve Requirement: The minimum amount of Contingency Reserve the Transmission Provider needs to procure within a Reserve Zone as determined based upon co-optimization with Post Reserve Deployment Constraints.

Co-optimized Zonal Operating Reserve Requirement: The sum of the Co-optimized Zonal Contingency Reserve Requirement and Co-optimized Zonal Regulating Reserve Requirement.

Co-optimized Zonal Regulating Reserve Requirement: The minimum amount of Regulating Reserve the Transmission Provider needs to procure within a Reserve Zone as determined based upon co-optimization with Post Reserve Deployment Constraints.

Co-optimized Zonal Short-Term Reserve Requirement: The minimum amount of Short-Term Reserve the Transmission Provider needs to procure within a Reserve Zone as determined based upon co-optimization with Post Reserve Deployment Constraints.

Co-optimized Zonal Spinning Reserve Requirement: The minimum amount of Spinning Reserve the Transmission Provider needs to procure within a Reserve Zone as determined based upon co-optimization with Post Reserve Deployment Constraints.

Coordinated Flowgate: A Flowgate that is subject to the Transmission Provider's or Coordination Customer's operational control and through which flows are affected by transmission over transmission facilities within its operational control, or with respect to which Transmission Provider serves as a Reliability Authority.

Coordinated Transaction Schedule: An Interchange Schedule to purchase Energy in the Real-Time Energy and Operating Reserve Market from a Source Point in either the MISO Balancing Authority Area or PJM Balancing Authority Area and sell it at a Sink Point in the other balancing authority area that is cleared if the forecasted LMP at the Sink Point minus the forecasted LMP at the Source Point is greater than or equal to the dollar value specified in the bid associated with the Interchange Schedule.

Coordinating Owner: Any entity that is not subject to the jurisdiction of the Commission but participating in the ISO through the execution of a coordination agreement which includes provisions for the elimination of rate pancaking. The terms and provisions of a Coordinating Owner's coordination agreement shall supersede the similar terms and provisions of this Tariff where applicable.

Coordination Customer: Any customer taking Coordination Services from the Transmission Provider pursuant to Module F of the Tariff. The term Coordination Customer includes: Reliability Coordination Customer, and Congestion Management Customer.

Coordination Services: The services provided by the Transmission Provider pursuant to Module F of the Tariff. Coordination Services include Reliability Coordination Service and Interconnected Operations and Congestion Management Service.

Corporate Guaranty: A legal document taking the form found in Exhibit I of Attachment L of this Tariff used by an Affiliate of an Applicant and/or Tariff Customer that guarantees the obligations of such Applicant or Tariff Customer.

Cost Allocation Zone: The zones identified in Attachment WW of this Tariff used for allocating the costs of Market Efficiency Projects.

Cost of Congestion: The Marginal Congestion Component of LMP at the sink minus the Marginal Congestion Component of LMP at the source.

Cost of Losses: Marginal Losses Component of LMP at the sink minus the Marginal Losses Component of LMP at the source.

Cost of New Entry (CONE): The capital, operating, financial and other costs of acquiring a new Generation Resource within the Transmission Provider Region for any designated LRZ.

Council of the City of New Orleans (CNO): The governmental body with the power of supervision, regulation, and control over public utilities providing service within the City of New Orleans, *i.e.*, Entergy New Orleans, pursuant to the Constitution of the State of Louisiana and the Home Rule Charter of the City of New Orleans. CNO shall have all the rights and responsibilities granted herein to states, state public utility commissions, state agencies, and State Regulatory Authorities.

Counterflow ARR: ARR allocated during the LTTR Restoration and Termination Stage of an Annual ARR Allocation based on a Counterflow ARR Entitlement.

Counterflow ARR Entitlement: Any Stage 1A eligible ARR Entitlement's portion that was not nominated in Stage 1A of a Market Participant's year 1 Annual ARR Allocation but that the Transmission Provider deems to provide counterflow necessary to enable curtailed Stage 1A CARRs to be restored (fully or partly) during the LTTR Restoration and Termination Stage of an Annual ARR Allocation.

Credit and Security Agreement: A Credit Support Document taking the form found in Exhibit V of Attachment L of this Tariff.

Credit Policy: The Transmission Provider's creditworthiness requirements and credit evaluation

procedures as contained in Attachment L of this Tariff.

Credit Support Documents: Any agreement or instrument in any way guaranteeing or securing any or all of a Tariff Customer's obligations under this Tariff (including, without limitation, the Credit Policy), any agreement entered into under, pursuant to, or in connection with this Tariff or any agreement entered into under, pursuant to, or in connection with this Tariff or the Credit Policy, and/or any other agreement to which the Transmission Provider and the Tariff Customer are parties, including, without limitation, any Corporate Guaranty, Cash Collateral Agreement, Letter of Credit, Credit and Security Agreement or agreement granting a security interest.

Critical Energy Infrastructure Information (CEII): Confidential information described in 18 C.F.R § 388.113(c)(1), as may be amended from time to time.

Curtailment: A reduction in firm or non-firm Transmission Service in response to a transfer capability shortage as a result of system reliability conditions pursuant to Section 14.7 or Section 27A of this Tariff.

Customer Load Aggregation: A Load Zone approved by the Transmission Provider for the purposes of submitting Bids to or scheduling into the Energy and Operating Reserve Markets and for settlement of Market Activities.

Cyber Exigency: A suspicious electronic act or event that has the potential to compromise reliability within the Transmission Provider Region or other electrical facilities directly or indirectly connected to the Transmission System and whose severity reasonably requires that the Transmission Provider obtain expert assistance not normally called upon to counter such an electronic act or to resolve such an event.

Large Load: Load with Demand of 50 MW or more associated with any facility or aggregation of facilities located at a single substation behind one or more Point(s) of Withdrawal from the Transmission System that is owned, operated, or controlled by: (a) a single entity, or (b) a group of entities that will coordinate with respect to the profile of the Load. Large Load does not include Load used exclusively for charging an Electric Storage Resource.

Large Load Equipment: Any of the facilities, devices, or equipment that constitutes a part of a Large Load, or are used to interconnect the Large Load to the Transmission System.

Legitimate Risks: Business operation risks, incurred by a Market Participant, that increase as a result of providing any of the products described in the Tariff. These risks include, but are not limited to, the risk of repair expenses; business interruption due to outages resulting from either a failure to start, or unplanned outages that occur when the facility is in service; regulatory restrictions; and disruptions from labor relations problems. These risks are in the nature of marginal costs included in Reference Levels. In contrast, the risk associated with fuel purchase price is not a component of Reference Levels, but rather a basis for the Fuel Cost Uncertainty Adder and some of the conduct thresholds under Module D.

Letter of Credit: A Credit Support Document taking the form found in Exhibit II of Attachment L to this Tariff.

Line Outage Distribution Factor (LODF): The percent of flow on line A, which is transferred to line B for the loss of line A.

Load: A term that refers to either an end-user of Energy, net of system losses, or the amount of Energy (MWh) consumed by such end-user within the Transmission Provider Region.

Load Forecast: An estimate of the amount of Energy (MWh) or Capacity (MW) to be consumed within the Transmission Provider's Region, prepared by the Transmission Provider based upon input from Local Balancing Authorities and Load Serving Entities, and used in the Transmission Provider's scheduling and dispatch decisions to ensure reliable operation of the MISO Balancing Authority.

Load Modifying Resource: A Demand Resource or Behind the Meter Generation Resource.

Load Modifying Resource Market Participant (LMR MP): A Market Participant that has the rights to control the energy demand or the energy production from a Load Modifying Resource.

Load Ratio Share: Ratio of a Transmission Customer's Network Load in a Zone to the total Load in that pricing Zone computed in accordance with Module B, Section 34.2 of this Tariff.

Load Serving Entity (LSE): Any entity that has undertaken an obligation to serve Load for end-use customers by statute, franchise, regulatory requirement or contract for Load located within or attached to the Transmission System, including but not limited to purchase-selling entities and retail power marketers with the obligation to serve Load. Where a distribution cooperative or a municipal distribution system otherwise covered by the prior sentence is a wholesale customer of a generation and transmission cooperative or a municipal Joint Action Agency, the generation and transmission cooperative, a state or federal agency or municipal Joint Action Agency may act as the Load Serving Entity for such distribution cooperative or municipal distribution system. Where retail Load switching occurs in a state, the entity with the obligation to serve Load is the LSE

Load Shedding: The systematic reduction of system demand by temporarily decreasing Load in response to a Transmission System Emergency, Local Transmission Emergency, or MISO Balancing Authority Area or Sub-Area Capacity shortages, system instability, or voltage control considerations under Module B and Module C, of this Tariff.

Load Zone: A Zone determined by Market Participants representing an aggregate area of consumption for a single Load Serving Entity within the MISO Balancing Authority Area and used for the purposes of scheduling, reporting Actual Energy Withdrawal volumes, and settling Energy transactions at aggregated Load levels, approved and maintained by the Transmission Provider to facilitate transactions.

Local Balancing Authority (LBA): An operational entity or a Joint Registration Organization which is (i) responsible for compliance to NERC for the subset of NERC Balancing Authority Reliability Standards defined in the Balancing Authority Agreement for their local area within the MISO Balancing Authority Area, (ii) a Party to Balancing Authority Agreement, excluding MISO, and (iii) shown in Appendix A to the Balancing Authority Agreement.

Local Balancing Authority Area: Shall have the meaning set forth in the Balancing Authority Agreement.

Local Clearing Requirement (LCR): The minimum amount of Seasonal Accredited Capacity for an LRZ that is required to meet its LOLE for each Season while fully using the Zonal Import Ability for such LRZ and accounting for controllable exports.

Local Clearing Requirement Charge: A charge that is assessed to Load Serving Entities whenever an LRZ's Auction Clearing Price for a Season is increased due to its LCR

being greater than the sum of individual Final PRMR of the LSEs.

Local Reliability Requirement (LRR): The minimum amount of Unforced Capacity for an LRZ to meet its LOLE for each Season, without considering transmission ties to systems outside of the LRZ.

Local Resource Zone (LRZ): A geographic area within the Transmission Provider Region that is prescribed by the Transmission Provider, based upon the criteria in Section 68A.3, to address congestion that limits Planning Resource deliverability.

Local Resource Zone Peak Demand: The Demand in MWs, for an LSE and/or EDC, in a Local Resource Zone that occurs coincident to the peak Demand for each Season in the Local Resource Zone, where all Demand has been augmented to include any known reductions in Demand related to LMRs.

Local Short-Term Reserve: Short-Term Reserve available to the Transmission Provider to address transmission constraints in any Reserve Zone(s).

Local Short-Term Reserve Requirements: The amount of Local Short-Term Reserve, as determined pursuant to Module C of the Tariff, that the Transmission Provider is required to procure in a Reserve Zone.

Local Transmission Emergency: Transmission System conditions or events that have the potential to exceed or have exceeded operating limits that do not pose a risk of cascading to the interconnection but require emergency-level actions.

Locational Marginal Price (LMP): A price for Energy at a given Commercial Pricing Node in the Transmission Provider Region which is the marginal cost of serving demand at the Commercial Pricing Node while meeting Zonal and Market-Wide Operating Reserve

Requirements, Up Ramp Capability requirements, Down Ramp Capability requirements, and Short-Term Reserve Requirements. Such price may be either Ex Ante or Ex Post.

Long-Term Firm Point-To-Point Transmission Service: Firm Point To Point Transmission Service under Module B of this Tariff with a term of one (1) year or more.

Long Term Transmission Rights (LTTR): ARRs allocated in Stage 1A of the Annual ARR Allocation process. LTTRs carry annual rollover rights lasting ten (10) years or more.

Look Ahead Commitment (LAC): A process performed during the Real-Time Energy and Operating Reserve Market that develops Resource commitment and decommitment options that may be used by the Transmission Provider to ensure sufficient Resources will be available to meet Load Forecast, Operating Reserve, Up Ramp Capability, Down Ramp Capability, Short-Term Reserve and other demand requirements for the near term intra-hour intervals.

Loss of Load Expectation (LOLE): An estimate of the average number of days with supply interruption to end use customers, whether for a single hour or multiple hours in a day.

Loss of Load Probability Curve: The probability of shedding firm Load under varying levels of Contingency Reserve shortages, to be used in accordance with Schedule 28. This curve is further described in the Transmission Provider's Business Practices Manual for the Energy and Operating Reserves Markets (BPM-002).

Loss Pools: A single Local Balancing Authority Area or an aggregation of Local Balancing Authority Areas, including those Local Balancing Authority Areas operated by Coordinating Owners consistent with the terms and provisions of the Coordinating Owners agreement, designated by the Transmission Provider for the purposes of

calculating and distributing Day Ahead and Real Time Hourly Marginal Losses Revenue Surplus.

Lost Opportunity Cost: The LMP revenues that were not realized relative to a theoretical future operating point.

Partial-Year FTR Allocation: The procedure used by the Transmission Provider to allocate FTRs to Market Participants in the new ARR Zones added as a result of Transmission Provider Region expansion that becomes effective after the start of the Annual ARR Allocation period. The Partial-Year FTR Allocation will cover the partial year period when the new ARR Zone(s) become effective to the start of the next Annual ARR Allocation. For the partial year period, the Market Participants in the new ARR Zone(s) may request an allocation of FTRs, which will be in lieu of an allocation of ARRs.

Party(ies): The Transmission Provider, ITC where appropriate, Market Participants, Transmission Customers, or any combination of the above.

Past Due Amount: Any amount invoiced by the Transmission Provider that is not paid when due.

Peak Reserved Source Set: Set of Resources including those constituting the Baseload Reserved Source Point that have met the Resource Qualification Requirements for inclusion as a Reserved Source Point for a given ARR Zone.

Peak Usage: A Market Participant's Total Forecasted Peak Load in a given ARR Zone for the upcoming Annual ARR Allocation period calculated using the immediate prior three year actual peak Loads. The Total Forecast Peak Load is the sum of the forecast Network Integration Transmission Service peak Load for the upcoming allocation period plus peak Load served by Option A – Grandfathered Agreements plus peak Load served by Option B – Grandfathered Agreements.

Penalty Level: A component of a mitigation measure described in Module D that represents the amount of Energy purchased by a Market Participant that is an LSE or represents an LSE

in the Real Time Energy Market in excess of the Allowance Level the entity is subject to.

Physical Withholding Threshold Quantity: Threshold employed by the IMM to identify physical withholding by a supplier of Planning Resources for the Planning Resource Auction, expressed in MW.

Plan: The Transmission Provider's Market Monitoring Plan set forth in Module D of this Tariff.

Planned Transmission Outage: Any transmission outage scheduled for the performance of maintenance or repairs or the implementation of a system enhancement which is planned in advance for pre-determined duration and which meets the notification requirements for such outages as specified by the Transmission Provider.

Planning Advisory Committee: A committee of stakeholders established under the ISO Agreement for the purpose of providing input to the planning staff on the development of the MTEP.

Planning Area(s): A collective or alternative reference to the First Planning Area and/or the Second Planning Area.

Planning Coordinator: The entity responsible for the longer term reliability of its planning coordinator area.

Planning Reserve Margin (PRM): The percentage above forecasted Coincident Peak Demand of Planning Resources for the Transmission Provider Region in order to meet the LOLE. This percentage will include a quantity sufficient to cover transmission losses.

Planning Reserve Margin Requirement (PRMR): The amount of ZRCs required of each LSE with Coincident Peak Demand in an LRZ to meet the LSE's Resource Adequacy Requirements in each Season.

Planning Resource: A Capacity Resource or Load Modifying Resource that can be used to satisfy PRMR.

Planning Resource Auction (PRA): Auctions conducted by the Transmission Provider to determine the ACP and the cleared ZRC Offers for each LRZ and ERZ for each Season in the applicable Planning Year.

Planning Year: The period of time from June 1st of one year to May 31st of the following year that is used for developing Resource Plans. The first Planning Year shall commence on June 1, 2009.

PMAX: The maximum Generator real power output reported in MWs on a seasonal basis.

PMIN: The minimum Generator real power output reported in MWs on a seasonal basis.

Point(s) of Delivery: Point(s) on the Transmission System where Capacity and Energy transmitted by the Transmission Provider will be made available to the Receiving Party under Module B and Module C of this Tariff. The Point(s) of Delivery shall be specified in the Service Agreement for Long Term Firm Point To Point Transmission Service or the HVDC Service Agreement.

Point(s) of Receipt: Point(s) of interconnection on the Transmission System where Capacity and Energy will be made available to the Transmission Provider by the Delivering Party under Module B and Module C of this Tariff. The Point(s) of Receipt shall be specified in the Service Agreement for Long Term Firm Point To Point Transmission Service or the HVDC Service Agreement.

Point(s) of Withdrawal: The point(s) where a non-transmission facility that is used to withdraw Energy from the Transmission System to serve Load connects to the Transmission

System.

Point-To-Point Transmission Service: The reservation of Capacity and of Energy on either a firm or non firm basis from the Point(s) of Receipt to the Point(s) of Delivery under Module B of this Tariff.

Portfolio: For Multi-Value Project purposes, means two or more Multi-Value Projects proposed to be located in one or more Transmission Pricing Zones that, when evaluated together, are expected to result in system-wide benefits across the MISO footprint or benefits across the subregion. For purposes of the Portfolio, subregion refers to either the MISO Midwest MVP Cost Allocation Subregion or MISO South MVP Cost Allocation Subregion.

Post Reserve Deployment Constraints: The post zonal Operating Reserve and Short-Term Reserve deployment flows on the transmission constraints and Sub-Regional Power Balance Constraints, used to determine the Co-optimized Zonal Regulating Reserve Requirement, Co-optimized Zonal Contingency Reserve Requirement, Co-optimized Zonal Spinning Reserve Requirement, and Co-optimized Zonal Short-Term Reserve Requirement, for each Reserve Zone.

Post Reserve Deployment Constraints Demand Curve: Demand curves used to price Post Reserve Deployment Constraints.

Power Purchaser: The entity that is purchasing the Capacity and reserved Energy to be transmitted under this Tariff.

PPA Schedule: Schedule associated with a PPA that is executed after April 3, 2014.

Pre-Confirmed Application: An Application that commits the Eligible Customer to execute a Service Agreement upon receipt of notification that the Transmission Provider can

provide the requested Transmission Service.

Price Sensitive Demand Bids: Demand Bids in which the Market Participant specifies a maximum price (dollars per MWh) at which the Market Participant desires to purchase the designated MWh of Energy.

Price Taker: A Market Participant with an Energy and/or Operating Reserve Offer not capable of setting LMPs or MCPs.

Production Costs: The Energy output cost of a Generation Resource or a Demand Response Resource-Type II based upon Start Up, No Load and Energy Offer cost components set forth in an Offer or the Energy reduction cost of a Demand Response Resource-Type I based upon Shut Down Offer, Hourly Curtailment Offer and Energy Offer cost components set forth in an Offer.

Project Cost: All costs for Network Upgrades, as determined by the Transmission Provider to be a single transmission expansion project, including those costs associated with seeking and obtaining all necessary approvals for the design, engineering, construction, and testing of the Network Upgrades. These Network Upgrades will include costs classified by the Transmission Owners and Independent Transmission Companies as transmission plant using the Uniform System of Accounts 350 through 359 or equivalent set of accounts for any Coordinating Owner.

Project Financial Security: The Cash Deposit or Irrevocable Letter of Credit described in Appendix 1 to Attachment FF of the Tariff that a Selected Developer is required to provide.

Proposal: A proposal to construct, implement, own, operate, maintain, repair, and restore all

Competitive Transmission Facilities associated with a Competitive Transmission Project, in response to a Request for Proposal. Proposals may be submitted in one of two different forms: (i) a Single-Developer Proposal; or (ii) a Joint-Developer Proposal. The term "Proposal" shall include "Single-Developer Proposal" and "Joint-Developer Proposal".

Proposal Cure Period: A period of time, as set forth within Attachment FF, Section VIII.D.10, allowed for an RFP Respondent to correct deficiencies identified by the Transmission Provider in its previously submitted Proposal. The Proposal Cure Period commences upon notification by the Transmission Provider to an RFP Respondent of deficiencies in its Proposal.

Proposal Participant(s): Any entity or entities involved in a Proposal, excluding the RFP Respondent(s), that will co-own the Competitive Transmission Project and rely on the RFP Respondent(s) to be the Selected Developer(s) responsible for constructing and implementing the Competitive Transmission Facilities associated with the Competitive Transmission Project. Proposal Participants may be identified in a Proposal as responsible for one or more aspects of operations, maintenance, repair, or restoration, on terms comparable to those that would apply if the RFP Respondent(s) intended to rely on a third-party contractor.

Proposal Submission Deadline: The date and time Proposals must be submitted to the Transmission Provider by in order to be considered and evaluated by the Transmission Provider. The Submission Deadline shall be no later than 5:00 PM EPT on the date specified in the RFP, which shall not exceed one hundred and sixty-five (165) Calendar Days from the date the RFP was issued by the Transmission Provider, unless such date falls on a Saturday, Sunday, or MISO observed holiday in which case the Proposal Submission Deadline shall be

the next Business Day that is not a MISO observed holiday.

Proposed Generator Planned Outage: The planned removal from service, in whole or in part, of a Generation Resource for inspection, maintenance or repair for which the Generation Owner has sought or will seek approval from the Transmission Provider for such planned removal in accordance with the Business Practices Manuals.

Protected Information: Privileged and non public information to be maintained by the Transmission Provider.

Proxy Offers: The Offers created for resources that are deployed during Emergency operating procedures by the Transmission Provider as specified in Schedule 29A.

Pseudo-tie: A telemetered reading or value that is updated in real time and used as a tie line flow in the Area Control Error equation but for which no physical tie or energy metering actually exists. The integrated value is used as a metered MWh value for interchange accounting purposes. Pseudo tied status of Resources and Loads may only be changed during Network Model updates and the timing of such updates shall be as defined in the Business Practices Manuals.

Pseudo-tie Agreement: The Agreement between MISO and a Market Participant included as Attachment FFF-1 or Attachment FFF-2 to this Tariff, as applicable, outlining the terms and conditions of the real-time transfer of control of a generating unit or load to (or from) the MISO Balancing Authority Area from (or to) a specified external Balancing Authority Area.

Public Power: For credit scoring purposes, an Applicant or Market Participant that is a not for profit municipality, cooperative, Joint Action Agency, or agent representing one or more Public Power entities and whose credit quality is directly derived from the credit quality

of the Public Power entities represented through the agency relationship.

Public Power Composite Score: For credit scoring purposes, the weighted average value of the Public Power Qualitative Score and the Public Power Quantitative Score. The relative weights are sixty percent (60%) and forty percent (40%).

Public Power Qualitative Score: A component of a Public Power Composite Score which has, for credit scoring purposes, a value ranging from 1 to 6.99, with 1 being the best and 6.99 being the worst. The value is based on a review by the Transmission Provider of qualitative factors relative to an Applicant's business, including but not limited to: i) regulatory; ii) legal; iii) demographic; and iv) energy supply/price factors as provided in Attachment L to this Tariff.

Public Power Quantitative Score: A component of a Public Power Composite Score which has, for credit scoring purposes, a value ranging from 1 to 6.99, with 1 being the best and 6.99 being the worst. The value is based on a review by the Transmission Provider of various financial metrics as detailed in the Transmission Provider's credit scoring model in Attachment L.

I. Applicability of Large Load Reliability Requirements

The Transmission Customer taking Transmission Service on behalf of a Large Load shall be responsible for complying with each of the requirements of this Section 37A applicable to each Large Load it represents.

Except as set forth in Section 37A.II, all Large Load shall be subject to the Basic Facility Data, Modeling, Telemetry, Forecast Data, and Audit requirements set forth in Sections 37A.1 through 37A.4 and section 37A.8 of the Tariff.

Except as set forth in Section 37A.II, Computational Load, shall be subject to the Phasor Measurement Unit, Ride-Through and Ramp requirements set forth in Sections 37A.5 through 37A.7 of the Tariff. The Transmission Provider shall determine whether Computational Load is associated with a Large Load based on information provided by the Transmission Customer to the Transmission Provider for such purpose, as set forth in the Business Practices Manual for Large Load.

A Transmission Customer taking Transmission Service on behalf of a Large Load shall demonstrate its ability to effectuate compliance with each of the requirements of this Section 37A. The Transmission Customer shall provide the Transmission Provider with documentation necessary for the Transmission Provider to verify compliance with the requirements of this Section 37A. Such documentation may include applicable agreement(s), if any, between the Transmission Customer and the entity or entities that own, operate or use the Large Load, or an attestation signed by an authorized officer of the Transmission Customer demonstrating that the Transmission Customer will be provided access to all information reasonably required to enable the Transmission Customer to comply with and for the requirements of this Section 37A,

including compliance with the terms of any operating protocols adopted by the Transmission Provider, Transmission Owner and/or the Transmission Customer for a specific Large Load.

Failure to comply with the requirements established in this Section 37A may result in a delayed Service Commencement Date, a period of time needed for corrective action, operational limitations, or other remediation action(s) by Transmission Provider as may be necessary to maintain Transmission System reliability. The process by which Transmission Provider will determine whether any such measures are appropriate, which may include the period of time during which corrective action must be undertaken, shall be as set forth in the Business Practices Manual for Large Load.

II. Transition Provisions

1) For purposes of these transition provisions, Load associated with a transmission project shall be defined as meeting the "MTEP/EPR Condition" if the project has either: (a) been approved by the Transmission Provider Board in MTEP 2026, or a prior MTEP; or, (b) been submitted to the Transmission Provider for Expedited Project Review (EPR) on or prior to June 18, 2026, in accordance with Attachment FF of the Tariff.

2) A Transmission Customer taking Transmission Service on behalf of a Large Load shall ensure that all Large Load shall be subject to all the requirements as set forth in this Section 37A, provided that:

(a) Fully Exempt Large Load:

A Large Load that has a Service Commencement Date on or prior to December 4, 2026, shall be exempt from all requirements set forth in this Section 37A with respect to the portion of the Large Load that has

procured Transmission Service as of the Service Commencement Date. Any modification or series of modifications to a Load that meets the MTEP/EPR Condition, which results in a cumulative increase of 25 MW or more in Transmission Service for such Load and with a Service Commencement Date after December 4, 2026, shall be subject to subsection (2)(b) below.

(b) Partially Exempt Large Load:

(i) A Large Load, or a portion of a Large Load, that does not have a Service Commencement Date prior to December 4, 2026, but that meets the MTEP/EPR Condition as defined herein shall be subject to the requirements set forth in Sections 37A.1 through 37A.5 and Section 37A.8, and shall be exempt from the requirements set forth in Sections 37A.6 through 37A.7.

(ii) A Large Load, or a portion of Large Load, that does not have a Service Commencement Date prior to December 4, 2026, and that has not met the MTEP/EPR Condition but has submitted Load associated with a transmission project to the Transmission Provider for EPR on or after June 19, 2026, but on or before October 31, 2026, shall be subject to all requirements set forth in this Section 37A, provided that Transmission Provider may waive the requirements set forth in Section 37A.6 based upon a determination that: a) exemption from such requirements would not have an adverse reliability impact; and, b) compliance with such requirements would result in significant costs. The Business Practices

Manual for Large Load shall set forth the process and documentation necessary for Transmission Provider to determine whether such criteria have been met.

(c) Non-Exempt Large Load:

A Large Load, or a portion of a Large Load, that does not meet the MTEP/EPR Condition shall be subject to all applicable requirements set forth in this Section 37A.

3) Notwithstanding any of the provisions above the Transmission Provider has the right to require compliance with any or all requirements of this Section 37A if the Transmission Provider determines that operation of a Large Load results in a material adverse effect on Transmission System reliability. The process by which Transmission Provider will make such a determination and which, if any, of the requirements of this Section 37A are to be applied shall be as set forth in the Business Practices Manual for Large Load.

Large Load Information and Basic Facility Data Requirements

A Transmission Customer taking Transmission Service on behalf of a Large Load shall be responsible for providing the Transmission Provider with basic information, one-line diagrams, and a description of the electrical characteristics of the Large Load for all Large Load Equipment, in the format and consistent with the timelines specified in the Business Practice Manual for Large Load. Any changes to the characteristics of a Large Load and/or Large Load Equipment, including any changes to the modeling details for the Large Load, shall be provided to the Transmission Provider in a timely manner, consistent with the Business Practices Manual for Large Load. Such changes may include, but are not limited to, Load MW amounts, firm and non-firm MW amounts, any dispatchable Load MWs, power factor, metering, telemetry, breaker configuration, staged Load additions and annual energy as further set forth in the Business Practices Manual for Large Load.

A Transmission Customer taking Transmission Service on behalf of a Large Load must coordinate with the Transmission Owner where the Large Load Point(s) of Withdrawal is located pursuant to the Transmission Provider's load interconnection guidance and applicable NERC standards.

Large Load Modeling Requirements

A Transmission Customer taking Transmission Service on behalf of a Large Load shall provide the Transmission Provider with verified and complete electrical models of the Large Load, as well as detailed Load profiles, for modeled Loads, in the format and consistent with the timelines specified in the Business Practice Manual for Transmission Planning. Such model information must include sufficient detail for the Transmission Provider to evaluate system performance under contingency conditions in accordance with currently active versions of Transmission System Planning Performance Standards.

Following completion of applicable studies and prior to the Service Commencement Date of the Large Load, the Transmission Customer shall submit final verified models to the Transmission Provider in accordance with the Business Practices Manual for Large Load. The Transmission Customer shall provide notice to the Transmission Provider of any material modifications to the Large Load and shall not implement any such proposed modifications until studied and approved by the Transmission Provider in accordance with the Business Practices Manual for Large Load.

The final models of a Large Load shall reflect the as-built configuration and actual operating characteristics of the Large Load and Large Load Equipment. The Transmission Customer shall maintain and update models as required by the Transmission Provider.

Large Load Telemetry Requirements

Prior to the later of the Service Commencement Date of a Large Load or September 1, 2027, a Transmission Customer taking Transmission Service on behalf of a Large Load must provide real-time telemetry for the Large Load, either directly, through the applicable Transmission Owner, or other Transmission Provider-approved communication path, in the form and manner as set forth in the Business Practices Manual for Large Load.

Individual metering will be required for all Large Load and any Generation Resource(s) serving such Large Load that is located behind the same Point(s) of Withdrawal to the Transmission System as the Large Load and meeting thresholds outlined in the Business Practices Manual for Large Load. All telemetry shall be provided via Inter-Control Center Communications Protocol (ICCP) and must meet Transmission Provider update requirements as specified in the Business Practices Manual for Large Load. The Transmission Customer must use commercially reasonable efforts to maintain telemetry availability and accuracy for the Large Load and must promptly correct erroneous data, bad mappings, and ICCP modeling issues.

Large Load Forecast Data Requirements

Prior to the later of the Service Commencement Date of a Large Load or September 1, 2027, a Transmission Customer taking Transmission Service on behalf of a Large Load must provide day(s) ahead and real-time Load Forecasts for a Large Load directly to the Transmission Provider to support the Reliability Assessment Commitment (RAC) and Security Constrained Economic Dispatch (SCED) processes, along with other reliability studies. The Load Forecasts shall be updated to reflect the most current information on the expected Demand, in accordance with the Business Practices Manual for Large Load.

Large Load Phasor Measurement Unit Requirements

The Transmission Customer taking Transmission Service on behalf of a Computational Load shall be subject to the Phasor Measurement Unit (PMU) requirements set forth in this Section 37A.5. Prior to the later of the Service Commencement Date of a Large Load or September 1, 2027, phasor measurement recording and communications equipment must be installed by the Transmission Owner, at the Transmission Customer's expense, that is capable, at a minimum, of gathering phasor measurements as specified in Business Practices Manual for Large Load. The phasor measurement equipment must be installed at the Transmission Owner's side of the Point(s) of Withdrawal and become part of the Transmission Owner interconnection facilities. To the extent similar quality equipment is being added or already exists, such as relays or digital fault recorders, that can collect data at least at the same rate as PMU and which data is synchronized via a high-accuracy satellite clock, such equipment may be utilized to satisfy this requirement if the equipment is located on the Transmission Owner's side of the Point(s) of Withdrawal. Phasor measurements must be streamed in the format specified in the Business Practices Manual for Large Load and be provided to the Transmission Provider by the Transmission Owner.

Large Load Ride-Through Requirements

A Transmission Customer taking Transmission Service on behalf of a Computational Load shall be responsible for ensuring that the Computational Load remains connected to the Transmission System and continue operation during voltage and frequency disturbances within the performance criteria established by the Transmission Provider in the Business Practices Manual for Large Load.

Ride-through requirements apply at the Point(s) of Withdrawal and may include evaluation, testing, modeling, monitoring, and other compliance measures established by the Transmission Provider in the Business Practices Manual for Large Load.

Large Load Ramp Requirements

A Transmission Customer taking Transmission Service on behalf of a Computational Load shall be subject to the ramp requirements set forth in this Section 37A.7. Ramp limits shall be measured in aggregate across the applicable Point(s) of Withdrawal during stable-state transition, including any reduction/ramp smoothing provided by generation or other resources that meets the eligibility requirements specified in the Business Practices Manual for Large Load. Computational Load shall be subject to up-ramp and down-ramp limits established by the Transmission Provider consistent with the process set forth in the Business Practices Manual for Large Load. The Computational Load must have an effective up and down ramp rate not exceeding the specified limit outlined in the Business Practices Manual for Large Load unless otherwise directed by the Balancing Authority, Reliability Coordinator, or Transmission Operator.

Large Load Audit Rights

The Transmission Provider has the right to audit or verify the information provided by a Transmission Customer taking Transmission Service on behalf of a Large Load including, but not limited to, information related to the registration, claimed capacity, operations, modeling, inverter settings, metering, settlements, Large Load Equipment, and/or any other information related to the participation of the Large Load under this Tariff. The Transmission Customer shall maintain individual Large Load data and information related to the registration, Load Forecasts, operations, modeling, metering, and/or settlements for five (5) Years. The Transmission Provider shall maintain individual Large Load data and information it receives related to the registration, Load Forecasts, operations, modeling, metering, and/or settlements for five (5) Years.